

Divi's Laboratories

Price (May 2026)

₹7,885

A vertical moat, fully priced

Divi's owns the steps of the small-molecule value chain that its competitors import. That is a real and widening advantage, and the CDMO cycle is turning its way. At 81x trailing earnings, with free cash flow under ₹250 Cr for three straight years, the advantage is already in the price.

Market cap	₹2,09,347 Cr
52-week range	₹5,637 – ₹7,888
Shares outstanding	26.55 Cr
Trailing P/E	81.5x
Dividend yield	0.38%
Promoter / FII / DII	51.9 / 20.3 / 19.1%
NSE / BSE	DIVISLAB / 532488

INVESTMENT SUMMARY

Divi's Laboratories manufactures active pharmaceutical ingredients and advanced intermediates — roughly 45% of FY26 sales as large-volume generic APIs shipped to more than 100 countries, 55% as custom synthesis for global innovators, with a ₹946 Cr carotenoid nutraceuticals franchise alongside. Exports were 89% of revenue in FY26, of which Europe and the United States together accounted for about three-quarters.

- **The moat is vertical, not commercial.** Kakinada Unit 3 exists to manufacture the key starting materials that most Indian API producers still import from China. That is why material consumption fell to 38.8% of sales in FY26 from 39.8%, and why Divi's carries the highest EBITDA margin in its peer group (32.6% vs a 29.4% median). Add regulatory switching costs — 12 of the top 20 global pharmaceutical companies have been customers for over a decade, and replacing a filed API supplier means re-filing — and the position is durable in a way commercial contracts are not.
- **The sector tailwind is real, dated and measurable.** India's CDMO revenue pool is expected to roughly double to about US\$14bn by FY28 from a 2.7–3.6% share of the global market against China's ~8%. The BIOSECURE Act's list of companies of concern was finalised in early 2026, and US drugmakers must unwind exposure to designated Chinese suppliers by 2032. Divi's is the largest pure-play beneficiary by capacity.
- **Peptides are a genuine option, not yet a revenue line.** Goldman Sachs models global peptide API demand of roughly 99,000 kg by 2030 against a supply base concentrated in China. Divi's has commissioned solid- and liquid-phase capability and opened a Peptide Centre of Excellence, and management guides to commercial-phase contribution from FY27. Nothing has yet appeared in reported revenue.
- **Four years of no earnings growth sit behind the multiple.** FY26 profit after tax of ₹2,568 Cr is still below the ₹2,960 Cr Divi's earned in FY22. Reported FY26 revenue growth of 12.8% was 6.8% in constant currency; a ₹211 Cr foreign-exchange gain contributed 6% of pre-tax profit. Free cash flow has been under ₹250 Cr in each of the last three years while capital work-in-progress tripled to ₹2,113 Cr.
- **Valuation is the whole argument.** My discounted cash flow returns ₹1,946 per share (base case), and no plausible pairing of discount rate and terminal growth in my sensitivity grid reaches the market price. Run in reverse, ₹7,885 requires either a 10.1% perpetual growth rate in free cash flow or that Divi's still commands

about 51x EV/EBITDA in FY36. The multiple-based methods, which are what actually set the price for this stock, cluster between ₹6,350 and ₹8,270.

My view

Own the business, respect the price. Divi's is a legitimate core holding for a long-duration portfolio and where the peptide and BIOSECURE optionality stops being fully paid for. At ₹7,885, after a 19% six-month move to an all-time high, the risk-reward is symmetric at best.

WHAT THE COMPANY ACTUALLY DOES

Divi's was incorporated in 1990 and is run from Hyderabad by the founding family — Dr Murali K. Divi as Chairman and Dr Kiran S. Divi as Chief Executive — with promoters holding 51.88%. Manufacturing sits across three sites: Unit 1 at Choutuppal (Telangana, from 1995), Unit 2 at Chippada near Visakhapatnam (from 2003, with an adjoining SEZ unit), and Unit 3 at Kakinada in Andhra Pradesh, operational since January 2025. The business divides three ways.

Generic APIs — 45% of FY26 sales

About 30 large-volume molecules made in tens to thousands of tonnes a year, in cardiovascular, central nervous system, anti-ulcerant and anti-epileptic categories — naproxen, dextromethorphan, gabapentin, levetiracetam, valsartan, pregabalin and phenylephrine among them, with roughly ten more in R&D or pilot scale. Divi's is the global volume leader in several. This is a cost-curve business: whoever makes the molecule cheapest at scale takes the share, and pricing is set at the margin by Chinese capacity. Generic API revenue declined 3% year-on-year in Q4 FY26 on exactly that pressure.

Custom synthesis — 55% of FY26 sales

Contract development and manufacture of APIs and advanced intermediates for innovator pharmaceutical companies, under multi-year agreements. Twelve of the top twenty global pharmaceutical companies have worked with Divi's for more than a decade. This is the segment that grew 18% year-on-year in Q4 FY26 while generics shrank, and it is where the peptide and contrast-media programmes sit. Custom synthesis crossed 50% of the mix for the first time in FY26 — a structural change in the earnings quality of the company, and the reason I am willing to underwrite a premium multiple at all.

Nutraceuticals — ₹946 Cr in FY26

Carotenoids made at Visakhapatnam — beta-carotene, lutein, lycopene, astaxanthin, canthaxanthin — plus vitamins A and D3, supplied in active, beadlet, liquid and powder form to food, supplement and animal-feed manufacturers. Revenue grew from ₹781 Cr in FY25. Small, but it is the highest-margin unit inside the group and it diversifies the customer base away from pharma.

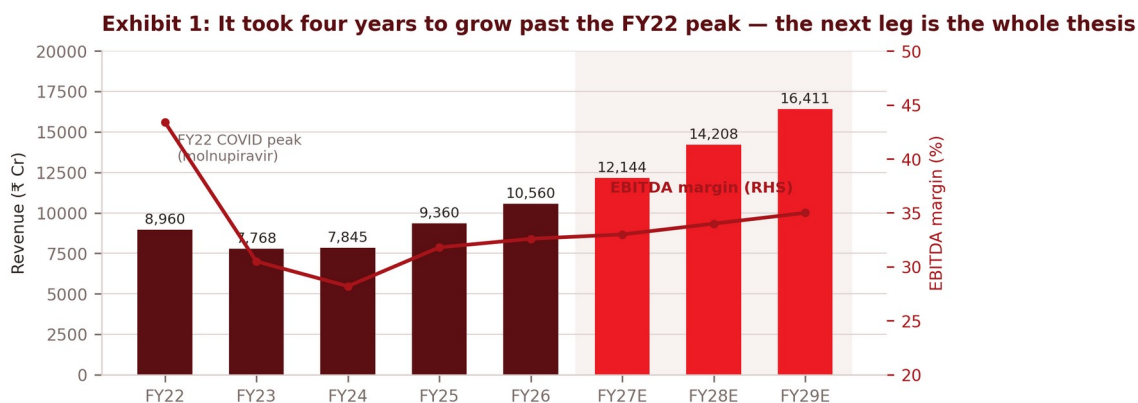
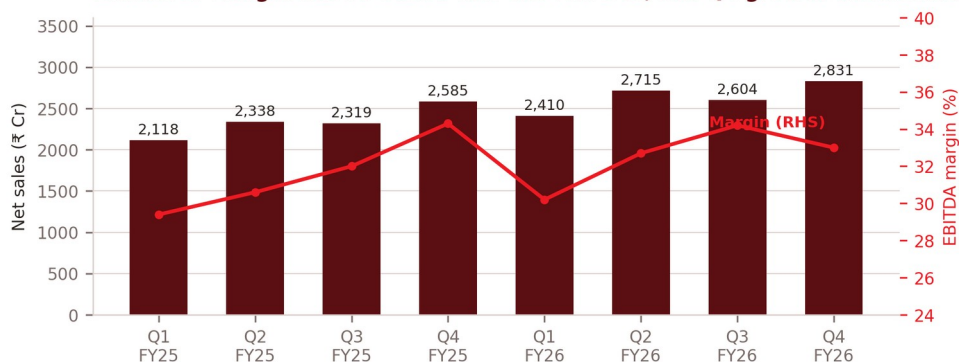


Exhibit 1 note: FY22 revenue and margin were inflated by COVID-era molnupiravir intermediate supply. Source: Company filings, my own analysis. FY27E–FY29E are my own estimates.

Exhibit 1 is the single most important chart in this note. Divi's earned ₹2,960 Cr in FY22 on the back of a one-off pandemic contract, spent FY23 and FY24 giving that back, and has spent FY25 and FY26 climbing out. Revenue has finally exceeded the FY22 peak; profit has not. An investor buying today at 81x trailing earnings is paying for the slope of the FY27–FY29 bars, not for anything that has happened in the last five years.

Exhibit 2: Margin has re-based into the low-30s, but Q4 growth decelerated to +9.5% YoY

Source: Company filings, my own analysis. Data as of May 2026.

Source: Company filings, my own analysis.

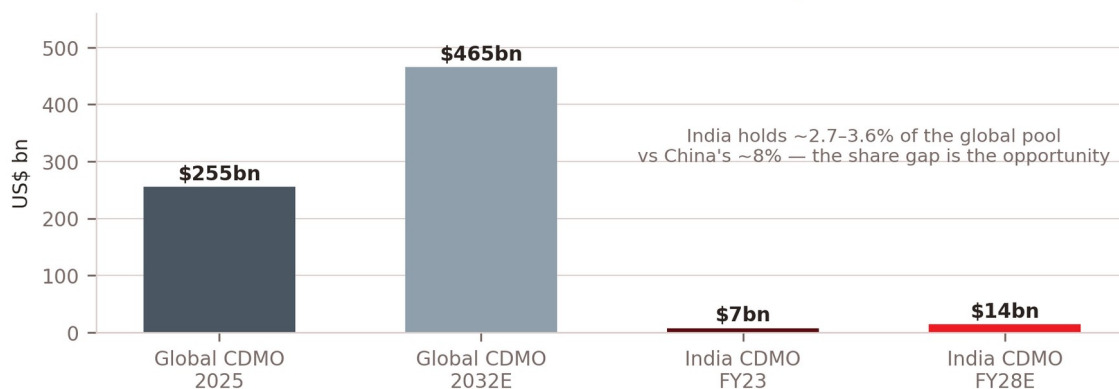
The quarterly picture (Exhibit 2) shows margin successfully re-based into the low thirties after the FY24 trough, which is the operational achievement of the last two years. It also shows growth decelerating: Q4 FY26 revenue rose 9.5% year-on-year against 17% in Q2. EBITDA grew 5%. The gap between the two is gross margin, and the gap between reported and constant-currency growth for the full year — 12.8% against 6.8% — is the rupee.

THE SECTOR: WHY NOW IS DIFFERENT

Pharmaceutical outsourcing has been a structural growth story for twenty years, so “CDMO is growing” is not by itself an investment case. Three things have changed since 2024 that make the current setup different in kind, not just degree.

1. The China supply chain is being unwound by statute, not by preference

The BIOSECURE Act restricts US federal contracting with designated Chinese biotechnology companies, and its list of companies of concern was finalised in early 2026. Because retaining Medicare and Medicaid positions requires US drugmakers to sever ties with designated contractors by 2032, the migration is not a procurement fashion that reverses when prices move — it is a compliance deadline with a date on it. China holds roughly 8% of the global CDMO market; India holds 2.7–3.6%. Indian operators run at roughly 20% below Chinese cost while carrying stronger USFDA and EMA compliance records, and 30–40% below Western peers.

Exhibit 3: India's CDMO revenue is set to double by FY28 off a low base

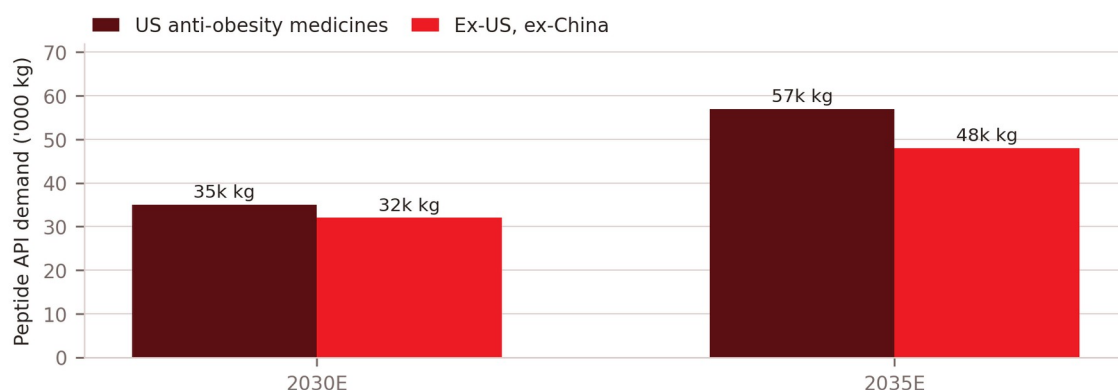
Source: Drug Patent Watch; JM Financial; BCG; industry estimates compiled by my own analysis. Data as of May 2026.

Source: Drug Patent Watch; JM Financial; BCG; industry estimates I compiled myself.

The implication for Divi's is specific rather than general: qualification cycles for a new API supplier run 12–24 months and the incumbent Indian players with existing filings, audited plants and decade-long relationships capture the migration first. Divi's has the largest installed reactor base of any listed pure-play and ₹2,113 Cr of capital work-in-progress already committed. Late entrants will be qualifying plants in 2028 for a shift that is being awarded now.

2. Peptides turn a chemistry problem into a capacity problem

GLP-1 and related incretin therapies are the largest demand event in small-molecule-adjacent manufacturing in a generation. J.P. Morgan projects a US\$200bn global incretin market by 2030; Goldman Sachs models roughly 99,000 kg of global peptide API demand by 2030, split about 35,000 kg for the US anti-obesity market and 32,000 kg ex-US and ex-China, rising to 57,000 kg and 48,000 kg respectively by 2035.

Exhibit 4: Peptide API demand is a capacity problem, not a demand problem

Source: Goldman Sachs peptide supply analysis (Jun 2026), as reported; my own analysis. Data as of Jun 2026.

Source: Goldman Sachs peptide supply analysis (June 2026), as reported; J.P. Morgan Global Research; my own analysis.

Two features of this matter for a manufacturer. First, solid-phase peptide synthesis is capital- and know-how-intensive, and existing capacity is concentrated in China — precisely the geography being designed out. Second, semaglutide loses exclusivity across large markets from 2026–27, which means the branded and generic pools will be competing for the same synthesis capacity at the same time. Whoever holds qualified non-Chinese SPPS lines through 2027–29 will be pricing from strength. Divi's has taken the deliberate decision to work with innovators on GLP-1, GIP and GLP-2 analogues rather than chase generic peptide volumes, which caps the near-term revenue but protects the margin.

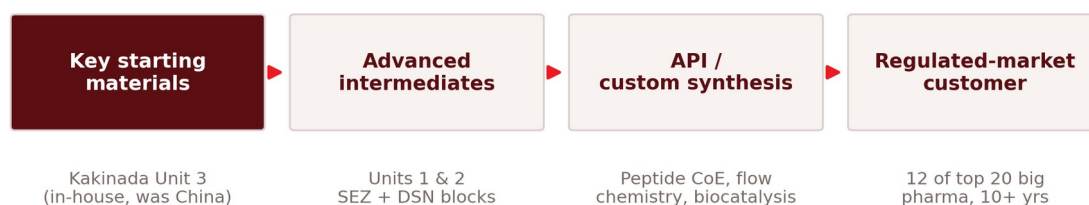
3. Tariffs have made supply-chain geography a board-level question

The US Section 232 proclamation of 2 April 2026 imposes a 100% ad valorem tariff on patented pharmaceutical products and their active ingredients, effective May 2026 for most importers and 29 September 2026 for the seventeen companies named in Annex III. Generics, biosimilars and their ingredients are expressly excluded for now, subject to a mandated review within one year. India sits in the default 100% tier; companies with an approved onshoring plan face 20%, and those with a most-favoured-nation pricing agreement with the US Department of Health and Human Services face zero.

For Indian generic exporters this is, for the moment, a reprieve. For Divi's it is more nuanced, and I treat it as a live risk rather than a tailwind — see the Risks section. Divi's generic API book is exempt, but its custom synthesis book supplies patented molecules, and the tariff attaches to the importer of record. The mitigating facts are that the United States is only about 14% of Divi's revenue against Europe's 58%, and that Divi's largest customers are exactly the multinationals most likely to hold MFN agreements that reduce the rate to zero.

THE MOAT: FIVE SOURCES, RANKED BY DURABILITY

The question one should ask about any CDMO is why the customer cannot simply place the next order somewhere cheaper. Divi's has five answers, and they are not equally durable. I rank them below in the order I would defend them.

Exhibit 5: The moat is vertical — Divi's owns steps rivals buy from China

Source: Company filings, my own analysis. Data as of May 2026.

Source: Company filings, my own analysis.

- 1. Backward integration is structural and expensive to copy.** Divi's manufactures its own key starting materials and advanced intermediates rather than buying them, which is what Kakinada Unit 3 is for. Phase I occupies 200 of 500 acres, six blocks were operational in FY26 with two more under construction, and cumulative investment had passed ₹1,497 Cr by the end of FY25. The financial signature is visible: material consumption at 38.8% of sales and a 32.6% EBITDA margin against a 29.4% peer median. The strategic

signature matters more — a competitor buying Chinese intermediates cannot credibly offer a BIOSECURE-compliant supply chain, however cheap its API price.

- 2. Regulatory switching costs are close to absolute for filed molecules.** An API supplier named in a Drug Master File and referenced in an approved NDA cannot be swapped without regulatory re-filing, stability data and customer revalidation. This is why twelve of the top twenty global pharmaceutical companies have been with Divi's for over a decade. It is a moat that strengthens automatically as the custom synthesis mix rises — which it has, from under half to 55% of sales.
- 3. At least one customer is pre-funding the capacity.** In May 2025 Divi's signed a long-term manufacturing and supply agreement with an undisclosed global pharmaceutical company for advanced intermediates. The ₹650–750 Cr of capacity required is being funded by a phased capacity reservation advance from the customer. Other liabilities on the consolidated balance sheet rose from ₹1,948 Cr to ₹3,265 Cr in FY26, consistent with that advance being received. I regard this as the strongest single piece of evidence in the filings: a customer willing to pre-pay is a customer who has concluded there is no adequate alternative.
- 4. Scale in large-volume generics is a cost-curve position.** Thirty molecules produced in tens to thousands of tonnes give Divi's the low-cost position on several global API curves. This is a real moat but the weakest of the five, because Chinese capacity can and does attack it — as the 3% year-on-year decline in Q4 FY26 generic revenue demonstrates. I would not pay a premium multiple for this segment alone.
- 5. A debt-free balance sheet is a moat in a capacity race.** Borrowings of ₹7 Cr against ₹16,761 Cr of net worth, roughly ₹4,200 Cr of net cash, and ₹2,738 Cr of operating cash flow mean Divi's can build ahead of contracted demand without dilution or covenant constraint. In an industry where the winner is whoever has qualified capacity at the moment the customer needs it, that optionality is worth something — and several listed peers, carrying pledged promoter stakes or stretched working capital, do not have it.

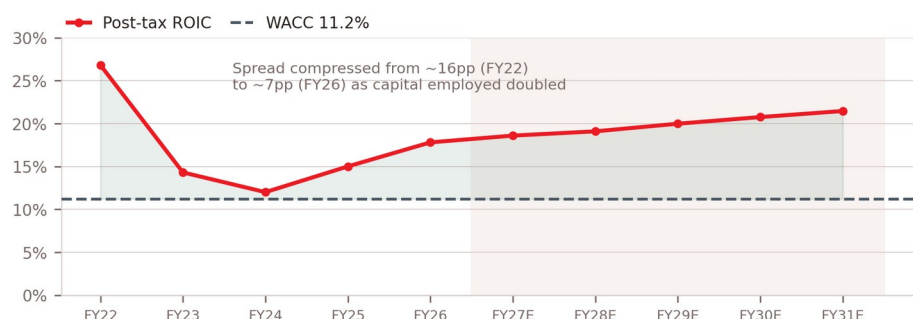
Where the moat does not extend

Divi's has no formulations business, no biologics platform and no proprietary molecules. It sells inputs to people who own the brand and the patent, which caps the terminal margin and means it can never capture the economics of a blockbuster — only the manufacturing spread on it. It also means customer concentration risk is real but undisclosed: Divi's does not publish a top-ten customer share, which is a governance gap relative to peers who do.

WHAT HAS TO HAPPEN FOR THE SHARES TO WORK

The bull case is not that Divi's wins the CDMO shift — I think it does. It is that returns on the capital deployed to win it are high enough to justify 81x trailing earnings. That is a narrower claim, and Exhibits 6 and 7 are where it is tested.

Exhibit 6: Divi's still earns above its cost of capital — but the spread is a fraction of what it was



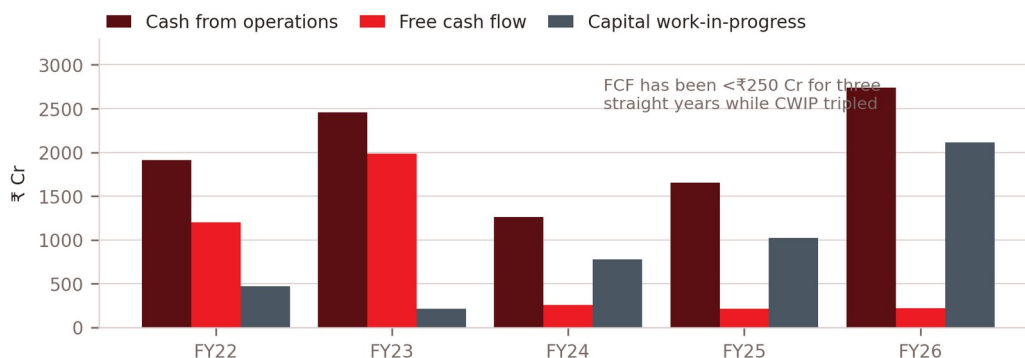
Source: Company filings, my own analysis. FY27E onward are my own estimates. Data as of May 2026.

Source: Company filings, my own analysis. FY27E onward are my own estimates. ROIC computed as post-tax EBIT over average capital employed excluding surplus cash.

Divi's still earns comfortably above its cost of capital. What has changed is the size of the spread. Post-tax return on invested capital was roughly 27% in FY22 against an 11.2% cost of capital; in FY26 it was closer to 18%. Capital employed has roughly doubled while profit has not recovered to its old peak. My forecasts have the spread

widening from FY27 as the Kakinada and peptide assets begin earning, but not back to the pre-COVID relationship.

Exhibit 7: Operating cash is strong; almost none of it reaches the shareholder yet



Source: Company filings, my own analysis. Data as of May 2026.

Source: Company filings, my own analysis.

Exhibit 7 is the uncomfortable one. Divi's converts profit into operating cash well — ₹2,738 Cr of operating cash flow in FY26, up 66% year-on-year and about 80% of EBITDA. Almost none of it reaches the shareholder. Free cash flow was ₹221 Cr in FY26, ₹215 Cr in FY25 and ₹258 Cr in FY24, because capital expenditure and a very heavy working capital cycle absorb it. Inventory runs at roughly 353 days and the cash conversion cycle at 348 days, so every rupee of incremental revenue consumes about half a rupee of working capital before it produces any cash. This is not mismanagement — it is what a backward-integrated API business with multi-step chemistry looks like — but it is the arithmetic reason the discounted cash flow below is what it is.

My estimates, and where they sit against the street

I forecast 15% revenue growth in FY27 and 17% in FY28, with EBITDA margin improving from 32.6% to 34.0% as Kakinada absorbs intermediate manufacture and the custom synthesis mix rises further. That produces earnings per share of ₹107 in FY27 and ₹127 in FY28. Recent sell-side targets around ₹7,375 have been set at roughly 50x FY28 earnings, which implies a street FY28 estimate near ₹147 — about 13% above mine. The difference is peptide timing: the street models commercial peptide revenue inside FY28; I do not, because management has described commercialisation as 12–24 months away on more than one call.

FINANCIAL SUMMARY

₹ Cr, year to March	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	7,845	9,360	10,560	12,144	14,208	16,411
Growth (%)	1.0	19.3	12.8	15.0	17.0	15.5
EBITDA	2,210	2,973	3,441	4,008	4,831	5,744
EBITDA margin (%)	28.2	31.8	32.6	33.0	34.0	35.0
Depreciation	(378)	(402)	(463)	(607)	(739)	(853)
Other income	335	348	433	380	405	430
Profit before tax	2,163	2,916	3,388	3,780	4,497	5,320
Profit after tax	1,600	2,191	2,568	2,835	3,373	3,990
EPS (₹)	60.27	82.53	96.73	106.8	127.0	150.3
EPS growth (%)	(12.3)	36.9	17.2	10.4	18.9	18.4
ROE (%)	11.9	15.4	16.5	16.0	17.0	17.8
ROCE (%)	16.0	20.0	22.0	21.4	22.7	23.8
Free cash flow	258	215	221	247	652	1,522
Net debt / (cash)	(3,900)	(4,000)	(4,200)	(4,300)	(4,700)	(5,600)
P/E (x)	130.8	95.5	81.5	73.8	62.1	52.5
EV/EBITDA (x)	92.8	69.0	59.6	51.2	42.5	35.7

A = actual, E = my own estimate. Multiples on the May 2026 close of ₹7,885. Net debt/(cash) for FY24–FY26 is my own estimate derived from the balance sheet; the company does not disclose a net cash figure separately. Source: Company filings, my own analysis.

Three points of commentary rather than a restatement of the table. First, the FY26 profit line flatters the underlying business: a ₹211 Cr foreign-exchange gain against ₹48 Cr in FY25 contributed roughly 6% of pre-tax profit, and constant-currency revenue growth was 6.8% against a reported 12.8%. FY26 also carries a ₹74 Cr exceptional charge for the new Labour Codes, so the two roughly offset at the net line but for opposite reasons. Second, my FY27 EPS growth of 10.4% looks weak against 15% revenue growth precisely because I do not repeat that forex gain; on a normalised base the underlying earnings growth is closer to 16%. Third, free cash flow is forecast to inflect from FY29 as capital intensity falls from 17% of sales to 12% — that inflection, not the revenue line, is what would change my mind.

Balance sheet and cash flow, FY26

Item	FY24	FY25	FY26	Comment
Net worth	13,571	14,969	16,761	Compounding at ~11% p.a.
Borrowings	3	4	7	Effectively debt free
Gross block	4,739	5,442	6,528	Kakinada capitalisation
Capital work-in-progress	778	1,022	2,113	Tripled in two years
Other liabilities	1,886	1,948	3,265	Includes customer advance
Cash from operations	1,261	1,653	2,738	Up 66% YoY; 80% of EBITDA
Free cash flow	258	215	221	Third year below ₹250 Cr
Inventory days	364	311	353	Structurally high
Cash conversion cycle (days)	370	330	348	Working capital 195 days
Dividend payout (%)	50	36	31	₹30/share final for FY26

₹ Cr unless stated. Source: Company filings; Screener.in; my own analysis.

VALUATION

I value Divi's on a blend that deliberately underweights discounted cash flow. My method statement: 55x FY28 earnings at 40% weight, 48x FY29 earnings at 35%, 40x FY28 EV/EBITDA at 15%, and the discounted cash flow at 10%. The DCF weight is low not because I distrust the model but because, as shown below, it has never been the marginal price-setter for this stock and a 10% weight is an honest statement of how much I think it should discipline the answer. That blend gives ₹7,300.

Discount rate

WACC build	Input	Basis
Risk-free rate	6.82%	India 10-year G-Sec, 30 May 2026
Equity risk premium	5.50%	House standing assumption for Indian large caps
Beta	0.80	Assumption — low-beta defensive large-cap exporter
Cost of equity	11.22%	$6.82\% + 0.80 \times 5.50\%$
Cost of debt (post-tax)	n.a.	Borrowings of ₹7 Cr; not meaningful
Target debt / capital	0%	Company is structurally debt free
WACC	11.2%	Equals cost of equity

Source: Trading Economics (G-Sec); my own analysis.

Free cash flow to the firm

₹ Cr	FY27E	FY28E	FY29E	FY30E	FY31E	FY36E
Revenue	12,144	14,208	16,411	18,708	21,047	31,926
EBITDA	4,008	4,831	5,744	6,585	7,408	10,855
EBIT	3,400	4,092	4,890	5,650	6,398	9,418
NOPAT (25% tax)	2,550	3,069	3,668	4,237	4,799	7,064
Add: depreciation	607	739	853	935	1,010	1,437
Less: capital expenditure	(2,064)	(2,131)	(1,969)	(1,871)	(1,894)	(1,979)
Less: increase in working capital	(846)	(1,025)	(1,030)	(1,042)	(1,025)	(920)
Free cash flow to firm	247	652	1,522	2,260	2,890	5,601

Explicit forecast period runs FY27E–FY36E; FY32E–FY35E omitted for space. Working capital held at 195 days of sales fading to 175 days by FY36 as the mix shifts to custom synthesis. Source: my own analysis.

Present value bridge	₹ Cr
PV of explicit-period free cash flow (FY27E–FY36E)	14,806
PV of terminal value (Gordon, $g = 5.0\%$)	32,648
Enterprise value	47,454
Add: net cash and investments (estimate)	4,200
Equity value	51,654
Shares outstanding (Cr)	26.55
Value per share (₹)	1,946

Terminal value is 69% of enterprise value. Source: my own analysis.

Exhibit 10: DCF value per share (₹) — no plausible input pair reaches the market price

10.22%	2,083	2,207	2,354	2,532	2,753
10.72%	1,912	2,013	2,131	2,273	2,444
11.22%	1,765	1,849	1,946	2,059	2,195
11.72%	1,638	1,708	1,788	1,881	1,990
12.22%	1,530	1,590	1,653	1,730	1,819
	4.0%	4.5%	5.0%	5.5%	6.0%
WACC	Terminal growth rate				

Source: my own analysis. Data as of May 2026.

Why the DCF and the market disagree — and which one I act on

A base-case discounted cash flow value of ₹1,946 against a market price of ₹7,885 is not a rounding difference, and I am not going to tune assumptions until they converge. The gap is informative and every investor in this name should understand it.

The mechanism is the terminal value. My Gordon growth terminal at 5% implies an exit multiple of roughly 8.7x FY36 EBITDA. The market currently pays 51x FY27 EV/EBITDA. Put the other way: to justify ₹7,885 on my cash flow forecasts you must assume either that free cash flow grows at 10.1% in perpetuity — permanently faster than global nominal pharmaceutical spending — or that Divi's still trades at about 51x EV/EBITDA a decade from now. Neither is impossible; both are assumptions about multiple persistence rather than about the business.

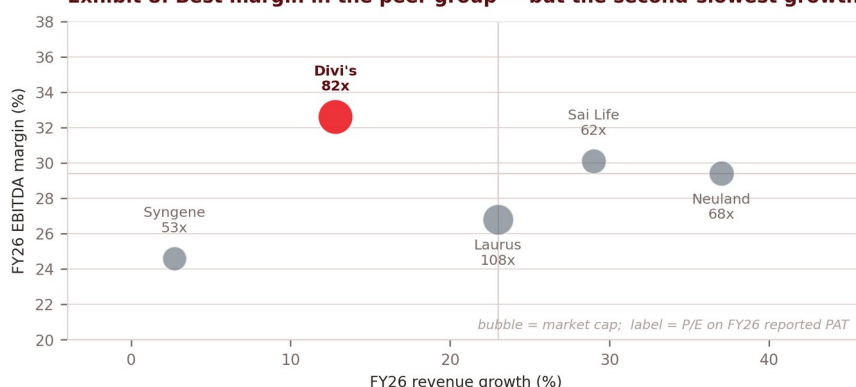
The honest conclusion is that Divi's has never been priced off its cash flows and probably never will be. It is priced as one of a very small number of Indian assets offering large-cap liquidity, a debt-free balance sheet, promoter control and direct exposure to a global structural theme, in a market where index and passive demand for exactly that profile is growing faster than the supply of it. Scarcity is a real, if uncomfortable, valuation input. I therefore act on the multiple-based methods and use the DCF for what it is genuinely good at here: telling me how much of the price is cash flow and how much is faith. On my numbers, roughly a quarter is cash flow.

Peer comparison

Company	Mkt cap	FY26 rev	Growth	EBITDA	FY26 PAT	P/E
Divi's Laboratories	2,09,347	10,560	12.8%	32.6%	2,568	81.5x
Laurus Labs	96,135	6,813	23.0%	26.8%	889	108.1x
Neuland Laboratories	24,612	2,023	37.0%	29.4%	364	67.6x
Sai Life Sciences	22,027	2,192	29.3%	30.1%	355	62.0x
Syngene International	16,708	3,739	2.7%	24.6%	317	52.7x
Cohance Lifesciences	16,382	2,269	(13.0)%	n.a.	150	109.2x
Peer median (ex-Divi's)	—	—	23.0%	28.1%	—	67.6x

₹ Cr. P/E on FY26 reported consolidated profit after tax and market capitalisation as at May 2026. Cohance FY26 EBITDA margin not disclosed on a comparable basis. Source: Company filings; Screener.in; my own analysis.

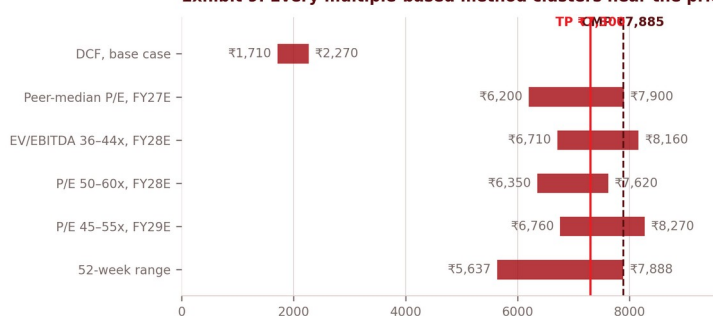
Exhibit 8: Best margin in the peer group — but the second-slowest growth and near the top multiple



Source: Company filings; Screener.in; my own analysis. Cohance excluded — FY26 margin not disclosed on a comparable basis. Data as of May 2026.

Source: Company filings; Screener.in; my own analysis.

Divi's carries the highest EBITDA margin in the group and the second-slowest growth, at a multiple close to the top of the range. That combination is defensible — margin quality and balance-sheet safety deserve a premium, and Laurus and Cohance screen at higher multiples only because their earnings bases are depressed. It is not, however, cheap on any reading. Applying the peer median of 67.6x to my FY27 EPS gives ₹7,225, which is within ₹100 of where the blend lands.

Exhibit 9: Every multiple-based method clusters near the price — the DCF is the outlier, and the whole debate

Source: my own estimates; peer multiples from company filings and Screener.in. Data as of May 2026.

Source: my own estimates; peer multiples from company filings and Screener.in.

RISKS

- **Section 232 tariffs reach the custom synthesis book.** Generic APIs are exempt today, but the exclusion is subject to a mandated review within one year and Divi's custom synthesis revenue supports patented molecules whose APIs are in scope. India sits in the default 100% tier. The offsets are that the US is roughly 14% of revenue against Europe's 58%, and that Divi's largest customers are the multinationals most likely to hold zero-rate MFN agreements. I would change my view if the one-year review extends tariffs to generic APIs, or if a major customer relocates a filed process to a US site.
- **Peptide commercialisation slips again.** Management has described commercial peptide revenue as 12–24 months away on more than one call. The entire premium above roughly ₹6,500 rests on that revenue arriving in FY28 rather than FY30. A further deferral on the Q1 FY27 call would be the clearest single negative catalyst in this note.
- **Chinese re-entry compresses generic API pricing further.** Generic API revenue fell 3% year-on-year in Q4 FY26 and management has said it expects no improvement in the pricing environment over the next two quarters. Generics remain 45% of sales. Backward integration protects the margin but not the price.
- **Capital intensity does not fall.** My valuation assumes capital expenditure declines from 17% of sales in FY27 to 12% by FY29 and free cash flow inflects. If Divi's continues to find ₹2,000 Cr of projects every year — and the incentive to do so during a capacity land-grab is strong — free cash flow stays near zero and the DCF gap never closes.
- **Regulatory action at a manufacturing site.** Divi's carries a clean recent record, but the USFDA import alert on Unit 2 in 2017 removed roughly 40% of the market value before it was lifted. With 89% of revenue exported and manufacturing concentrated across three sites, a single Form 483 escalation is a genuine tail risk rather than a boilerplate one.
- **Tax and disclosure.** A draft assessment order proposing additions of ₹570.51 Cr for FY23 was received in March 2026. The amount is manageable against ₹16,761 Cr of net worth, but transfer-pricing disputes at export-oriented units can recur across years. Separately, Divi's does not disclose customer concentration, which limits what any external analyst can say about the durability of the custom synthesis book.

WHAT WOULD CHANGE MY MIND

Trigger	Direction	What I would do
Price below ₹6,500 with thesis intact	Positive	Add aggressively
First disclosed commercial peptide contract with quantified revenue	Positive	Raise FY28E EPS 10–15%; add more
FY28 free cash flow above ₹1,000 Cr	Positive	Raise DCF weight; add more
Generic API returns to growth	Positive	Raise margin path
Peptide commercialisation deferred beyond FY29	Negative	Cut my fair value to ₹6,200–₹6,500
Section 232 review extends tariffs to generic APIs	Negative	Reassess Europe/US mix; likely trim
Capex guidance raised again without contracted offtake	Negative	Cut terminal margin assumption
Any USFDA import alert or warning letter	Negative	Step back and reassess

Source: my own analysis.